

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$221.62 ▼ 0.25%	12M Price Target \$260.00	52-Week Range \$61.44 – \$329.88	Market Cap \$198.91B
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MRVL: NVIDIA's \$2B Vote of Confidence Changes the Story

WHAT HAPPENED

- NVIDIA reportedly took a \$2B stake in MRVL — that's the headline mover. This isn't just capital; it's Jensen basically saying "we need Marvell in our ecosystem." MRVL designs custom AI chips (ASICs) and the high-speed networking gear that ties AI data centers together — NVIDIA validating that publicly is a huge credibility stamp.
- Stock is up ~6% over the last 4 sessions on heavy volume, then paused today on tiny volume (2.9M vs usual 20M+) — that's just a breather after the run, not a reversal. Simply Wall St flagging the "290% run" premium tells you sentiment is stretched but not broken.

WHY IT MATTERS

The NVIDIA investment reframes MRVL from "one of many AI chip vendors" to "strategic NVIDIA partner" — that's a re-rating catalyst, meaning Wall Street will start assigning it a higher earnings multiple because the risk profile just dropped. Here's the inference: NVIDIA doesn't write \$2B checks casually, so this likely locks in networking silicon design wins for NVIDIA's next-gen Rubin/Feynman AI systems, which extends MRVL's revenue visibility into 2028. The put/call ratio at 0.98 and that unusual \$275 September put buy tells me some big players are hedging the run-up — smart, not scary. What to watch: if MRVL holds above \$215 into next earnings, this becomes a \$250+ stock; if it can't, the NVIDIA news gets priced in and we consolidate.

POLICY & POLITICAL WATCH

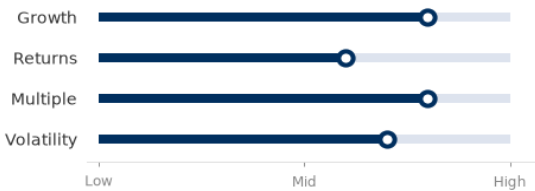
The CHIPS Act is MRVL's quiet best friend — they're a US-headquartered fabless chip designer (they design, TSMC manufactures), and the Trump administration's push to onshore advanced packaging and design work directly benefits them via tax credits and preferred federal contracting. Watch two things right now: (1) the ongoing US-China semiconductor export control tightening — MRVL has China exposure (~15% of revenue), so any new restrictions on AI chip exports could pinch that segment, and (2) the proposed AI infrastructure federal spending package being floated in the Senate that would fund national AI compute clusters — MRVL's custom silicon and optical DSPs (chips that move data at light speed between servers) are exactly what those clusters need. Net-net: policy environment is a tailwind, with China as the one wild card.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$221.62
12M Price Target	\$260.00
Upside / (Downside)	+17.3%
Market Cap	\$198.91B
FY2027E Revenue	\$8,900M
FY2028E Revenue	\$11,400M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	77.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$225.00	\$200.00
6 Months	\$275.00	\$245.00	\$190.00
1 Year	\$310.00	\$260.00	\$180.00
2 Years	\$380.00	\$300.00	\$160.00
5 Years	\$550.00	\$400.00	\$180.00
10 Years	\$900.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.2% this week) — that's the AI power story; data centers need massive electricity, and both parties are pushing nuclear/natural gas to feed them. Utilities are quietly climbing for the same reason. Comm Services is riding the AI content and cloud narrative.

COOLING OFF: Consumer Discretionary is soft (-0.9% weekly) — signals consumer stress, which usually doesn't hurt MRVL directly but can cause broad market wobbles.

ROTATION WATCH: Money is flowing into anything that powers AI (energy, utilities, semis) and out of consumer names. That's a direct tailwind — MRVL sits at the intersection of semis and AI infrastructure.

RELATED PLAY: If you like MRVL's setup, the AI power buildout beneficiaries — nuclear names like VST/CEG and grid infrastructure plays — are the second-order trade. They're picks-and-shovels for the picks-and-shovels.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Direct MRVL peer in custom AI silicon — winning huge Google TPU business, sets the pricing power benchmark for the space.
- NVDA (NVIDIA): The center of gravity for AI compute — its capex commentary drives the whole sector, and now it's literally invested in MRVL.

MRVL CONTEXT: MRVL has lagged AVGO and NVDA on a 2-year basis but the NVIDIA stake closes the credibility gap. It's now in the "tier 1 AI silicon" conversation, not the "also-ran" bucket. That re-rating is what powers the next leg higher — MRVL going from lagger to leader within the peer group is the setup.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$205-215 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium or Google TPU custom silicon contracts, or AI capex slowdown

Hedging: Buy protective puts or pair with short position in a richer AI multiple name